

It had risen by a factor of twenty-four. The whole fund had only \$43 million at the time, so a profit of that size was very meaningful. I think that without Houston Oil we would have been blown out like a candle in the 1973–74 bear market. Many funds were.

CRAY RESEARCH

Twenty years ago the late Seymour Cray was the most famous computer designer in the country. When his company, Cray Research, went public in 1978, I wondered whether we ought to invest in it, because it was quite speculative. But then I told myself, "This is like being asked to invest with Thomas Edison or Henry Ford. Cray is one of the great minds of the century, and if you invest with him and you lose money, it's just one more loss; you'll get over it. But if you don't invest with him and the company proves successful, you'll never forgive yourself."

On that basis, I bought a considerable amount of stock. Seven years later, after three splits, we had fifteen times as many shares as we started with, and our \$1.5 million investment had a market value of \$20 million.

The fact that a stock has already moved up sharply doesn't mean that it can't still have plenty of room left to climb.

Interestingly, we had an offer to get into Cray on a venture capital basis a year before it went public, but we turned it down. As I explained in the last chapter, venture capital involves more risk than I want to take, and Cray hadn't actually built his first machine yet. The stock tripled between the time of the venture capital financing and the original public offering. But that shows that if a